

GLOBAL LOANERS AND TRIALS

AUDIT PROGRAM #52-50-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
November 2025	All	All	Jen Daniels	Removed references to Asset Management, updated procedures link, minor edit to contract validation test
November 2024	Planning	Data Analysis	Jen Daniels	Removed system application table as it is requested in the IDR for each engagement.
November 2023	All	All	Jen Daniels	Updated RAE, process changes, and table of tools.
April 2023	All	All	Jen Daniels	Split global asset management into separate audit program #10-40-00 – (from 52-50-00) process now under Accounting)
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

Global Loaners and Trials (GLT) administers an optional service providing loaner and trial management services for client-facing teams to accelerate sales and achieve client success. Available services include asset coordination, asset storage, cross border shipments, end-to-end loaner and trial request management and contract compliance, final asset disposition, and maximization of asset utilization.

Types of engagements:

- **Loaner** – Equipment expected to be tested and then returned to IBM or an IBM authorized facility, not sold at the end of the engagement - assets may either be new (from manufacturing, never used) or used. This offering is applicable to Infrastructure brands.
- **Trial** – Equipment expected to be tested and then sold to client, not returned at the end of the engagement (required capital approval to fund the equipment - WWCT). This offering is applicable to Infrastructure brands.

The GLT process starts with a request raised to the GLT team through the Maximo tool. Once the request is received, GLT takes ownership, validates the completeness and accuracy of the request, and checks for availability of assets.

Contracts are created by Q2C and GLT as outlined in the documented process.

Prior to contract expiry, the Brand requestor will notify GLT to execute the action required (purchase, return, extend or transfer).

Annually, a physical validation is performed at the locations where GLT-managed assets are stored.

This audit program is worldwide in scope.

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PLANNING: Audit Program Risk Alignment

Global Loaners and Trials

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Book to Book (B2B) Reconciliation	Medium	Inventory Management	RE001.P
Physical Inventory	Medium	Inventory Management	PI001.P
Approvals	Low	Request and Contract Management	AP001.P
Contract Creation and Validation	Low	Request and Contract Management	CC001.P
Disposition Tracking and Management	Low	Disposition Management	DT001.P
Separation of Duties	Low	Separation of Duties	SD001.P

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The Data Analysis engagement procedures in the IA Manual provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Contracts	Volume of contracts	Missing approvals	Unauthorized shipments
		Missing signatures	Invalid contract terms or content
Asset shipments	Total shipments	Missing disposition decision	Asset loss
	Asset status	Delayed asset return	
Hardware Inventory	Physical inventory	Incomplete or inaccurate inventory, reconciliation	Inaccurate inventory records
	Book-to-Book Reconciliation		Asset loss
			Improper financial reporting

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PLANNING: Reference Material

Global Loaners and Trials W3 Page: <https://w3.ibm.com/w3publisher/glt>

Global Loaners and Trials mid-level processes are stored in Box:
<https://ibm.box.com/s/pnn8hx108kch74i8o616pupuwpzdhqa2>

Business Continuity Planning Link:
<https://bcm-prod01.op.ibmcloud.com/openpages/app/jspview/react/grc/task-view/4716>

General Data Protection Regulation (GDPR)
[Privacy@IBM - GDPR](#)

Corporate Directives: <http://w3.ibm.com/ibm/documents/corpdir/>

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Orders shipped with incomplete documentation.	Separation of duties and Operational testing.	Review order details against contract terms and confirm that contracting in place and valid approvals obtained.
Missing, lost, or stolen assets could remain undetected, financial loss, data exposure, PII, SPI.	Book to floor (B2F) and floor to book (F2B) reconciliations.	For GLT-managed assets, review the asset reconciliations. Select sample of assets and perform reconciliations during the review.
Incomplete or inaccurate asset records, end-of-use activities, misappropriation of IBM assets, financial loss.	Assets were recorded correctly and appropriately managed, including asset retirement.	Sample assets to determine if assets were accurately received, tracked, and monitored through the GLT life cycle, including scrapping.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Request and Contract Management

Objective:

Validate that IBM assets have a valid contract and approvals in place, with appropriate executed signatures prior to the asset being released to the customer.

Risk/Exposure:

IBM assets delivered to client without a valid contract in place.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Request and Contract Management

Primary Test: Approvals (AP001.P)

Note: This test is applicable for new requests and extensions

Objective:

Validate that IBM asset trial and loan requests have the required approvals in place.

Approach:

Request approval matrix for all the contracts supported. Select sample records from the universe of transactions.

- Validate that approvals according to the documented process were in place before the original loan / trial contract was sent for signature or loan extension was processed.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Request and Contract Management

Primary Test: Contract Creation and Validation (CC001.P)

Note: This test is applicable for new requests and extensions.

Objective:

Validate that IBM assets have a valid contract in place, with appropriate executed signatures prior to the asset being released to the customer.

Approach:

Select sample records from the universe of transactions where GLT was responsible to create or validate the contract. Using the contract and supporting evidence validate the following:

- Contract was created according to the information provided in the approved request
- Required contract signatures were obtained prior to the asset being released to the customer
- Contracts contained the details of the assets under loan/trial
- The asset(s) listed in the agreement match Maximo and WWCT (if applicable) approvals
- Revised supplements were completed based on the extension approvals provided

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Disposition Management

Objective:

Validate that IBM assets are properly dispositioned as per the Brand requestor (i.e., return, purchase, extend, transfer) and per the documented procedure.

Risk/Exposure:

IBM assets remain at customer location without a valid contract in place. Potential asset loss.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Disposition Management

Primary Test: Asset Disposition Tracking and Management (DT001.P)

Objective:

Validate that IBM assets are properly dispositioned as per the Brand requestor (i.e., return, purchase, extend, transfer) and per the documented procedure.

Approach:

Select sample records from the universe of transactions and validate that a decision/action was taken for the assets assigned within the request.

- Verify that all assets assigned to the request have been either sold, returned, extended or transferred
- Review evidence of return / purchase completion date or extension request (i.e., invoice soft copy or POD)
- Action plan documented for any delays to the action required
- Accurate status and updates were recorded within the tool
- Actioned timely or within the grace period defined in the process (applicable where disposition decision received).

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Inventory Management

Objective:

Validate that a physical inventory is completed, and issues identified during the reconciliation are documented with actions to resolve.

Risk/Exposure:

Asset loss, improper financial reporting, and inaccurate inventory records.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Inventory Management

Primary Test: Book-to-Book Reconciliation (RE001.P)

Objective:

Determine whether a process exists to reconcile information between the Global Loaners and Trials asset repository and the financial ledger.

Approach:

Perform book-to-book reconciliations: A key reconciliation is the one between IBM's financial ledger and the application where the assets are loaded. The steps to reconcile are:

- Assets in the Global Loaners and Trials application are identified and compared to IBM's financial ledger.
- A variance report is created, and each variance needs to be resolved in a timely manner.
- The reconciliation should be performed on a regular basis, according to the process.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Inventory Management

Primary Test: Physical Inventory (PI001.P)

Objective:

Validate that inventoriable IBM owned assets were accounted for during physical asset validation and in case of discrepancies issues were investigated and driven to closure.

Approach:

Annual physical inventory reconciliation: On an annual basis, a physical inventory or sampling of existing inventory is performed to detect and resolve any variances by a book-to-floor (B2F) reconciliation (every year) and a floor-to-book (F2B) reconciliation.

Typical issues are:

B2F: machines have been moved or scrapped and the database has not been updated

F2B: assets found have not been recorded in the appropriate asset tracking tool

- Verify if an inventory has been performed and book-to-floor and floor-to-book reconciliations have been performed annually for brand-owned hardware.
- Verify if an inventory has been performed and a floor-to-book (physical inventory vs. Maximo) reconciliation has been performed.
- Check if the evidence of inventory and reconciliations is documented in BOX and signed by the process owner.

Issue resolution following the inventory:

- Validate evidence of an action plan which includes details of the issues, the remediation action per issue, target resolution dates, action owners, etc.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Separation of Duties

Objective:

Responsibilities are segregated and system access capabilities restricted in a way which will prevent a person from circumventing established controls.

Risk/Exposure:

Inadequate separate of duties and/or failure to eliminate or mitigate risks associated with separation of duties conflicts could allow personnel to misuse or divert company assets or perpetrate fraud without deterrence or timely detection.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Separation of Duties

Primary Test: Separation of Duties (SD001.P)

Objective:

To ensure proper separation of duties exists so that no individual can control activities within a process in order to misuse or divert IBM assets without detection. Essentially, one individual should not be permitted to perform activities which combine custody, transacting and recording of IBM assets.

Approach:

Review the responsibilities assigned in the area of Global Loaners and Trials for possible separation of duties exposures. This should include accesses within the tool, as well as between the tool and other applications. Include in the review any update authority to systems, system tables or data. Any individual with capabilities which would allow them to circumvent preventive and detective controls in the processes should be identified and included in test samples.